The NBA Betting Bible — 2026-27 Edition

Oct 13, 2026 · @Aleyna

How to use this Bible

This is an operating manual for pricing NBA markets, finding mispriced numbers, sizing bets and passing on everything else. It is written for three readers at once: you, the model you feed it to, and the public if you publish it.

- **Read first:** Parts I–III before your first bet of 2026-27. They set the mindset, the hard rules and what changed this season.
- **The craft:** Parts IV–VII cover how lines are made, the factors that move them, player props, derivatives, live betting and futures.
- **The machine:** Parts VIII–IX list the sources and the model architecture. Appendix A is a paste-ready operating prompt for an LLM; Appendix B holds the formulas.
- **The business:** Part X is the playbook I would run if this were my platform. Part XI is the daily routine.

Every hard rule carries an ID (R-01 to R-40). Make your model cite the IDs behind every bet and every pass, so its reasoning can be audited.

What this Bible will not pretend. No system guarantees profit. A strong long-term return on major NBA markets is low single digits per dollar wagered, books limit winners, and variance can hide a real edge for a thousand bets. Every section is built around those facts, because a model that ignores them goes broke.

Ground rules. Bet only where it is legal for you; licensed sportsbooks are 21+ in most states. Nothing here is legal, tax or financial advice. Season facts are current as of the date at the top, so re-check Part III monthly. If betting stops being fun, call 1-800-GAMBLER.

Part I — The Three Minds: the House, the Hunter and the Chaser

You win by thinking like the House while sitting on the other side of the counter. Every price is a probability plus a margin, and your only job is to find the prices that are wrong.

The House: how Vegas thinks

Books do not predict games; they price risk and collect a margin. A -110/-110 market holds 4.55% of the money wagered, and same-game parlays hold far more.

- **Two kinds of book.** Market makers such as Circa in Las Vegas take big limits from sharp bettors and use that action to sharpen the line; Pinnacle plays the same role offshore and is used here only as a price reference. Retail books such as DraftKings, FanDuel, BetMGM, Caesars, Fanatics and bet365 copy and shade sharp numbers, earn from parlays and promotions, and cap winners.
- **They price you, not just the game.** Books score every account on timing, closing line value, stake patterns and favorite markets. A sharp profile gets limited; a losing profile gets VIP offers.
- **Where they are strongest:** full-game sides and totals close to tip on high-profile games, after sharp money has already moved the line.
- **Where they are weakest:** player props, derivatives priced from templates (first quarter, first half, team totals, alternate lines), early openers, the minutes after injury news, unusual contexts (tanking, rest, NBA Cup tiebreaks) and correlations inside same-game parlays.
- **How they shade:** toward what the public bets — popular teams, favorites, overs and star-player overs. The shade is small on sides and larger on props.
- **Their defenses:** low limits on props, delays on live bets, pulling markets when news breaks, payout caps and account limits.

The Hunter: how the pro thinks

The pro does not bet teams; the pro buys prices. There is one question: is this price better than the true probability?

- **EV = p × decimal odds − 1.** A 55% bet at -110 (decimal 1.909) is worth +5.0% of the stake.
- **Three sources of edge:** better numbers (a model), faster public information (news latency) and better execution (shopping, timing, venue). Most winners have one dominant edge, so know which one is yours.
- **The scoreboard is closing line value (CLV).** If you consistently beat the sharp closing price, you are winning, whatever this week's results say.
- **Habits:** price before you look, bet the number not the team, pass most of the board, size by edge, log everything and specialize.

The Chaser: the book's favorite customer

The Chaser bets for action and emotion, and the retail book's business model is built around this person. Every rule in Part II exists to make you the opposite.

Situation	The Chaser	The Hunter
Three straight losses	Doubles the stake to get even	Keeps the unit; checks the CLV on those three bets
Star ruled out at 6:30 p.m.	Bets the other side at any price	Checks whether the line already moved; bets only if the price still lags fair
Popular team on national TV	Bets them because everyone is	Looks for the shaded number on the other side
Six-leg parlay for $10	Calls it a lottery ticket	Knows it gives up about 24% unless the legs are correlated and mispriced
Team is 9-1 against the spread in its last 10	Rides the streak	Checks net rating and shooting luck; ATS streaks are mostly noise
Bad beat in garbage time	Tilts and bets the late game	Logs it; the bet's quality was set at the close

Part II — The Commandments

Forty rules in five groups decide every bet. The model must cite the rule ID behind each bet and each pass.

A. Price and edge

- **R-01 No edge, no bet.** Write your fair price before you look at the posted line. If you cannot state a fair price, you cannot bet.
- **R-02 Closing line value is the scoreboard.** Grade every bet against the no-vig closing price at the sharpest market you can see. Results are noise; CLV is signal.
- **R-03 Shop every bet.** Take only the best price across every legal book and exchange you hold. Near the middle of the distribution, a half point on an NBA side is worth about 1.6–1.8% of win probability.

- **R-04 Know your breakeven.** At -110 you must win 52.38%; at -105, 51.22%; at +100, 50%. Reduced-juice and exchange prices are free edge.
- **R-05 Strip the vig before you read a market.** Convert both sides to no-vig probabilities and anchor to the sharpest market available. Appendix B shows three methods.
- **R-06 Respect the market.** When your number sits far from a sharp line, assume missing news or a data error until you prove otherwise. Big "edges" are usually bugs.
- **R-07 Minimum edge by market.** Starting thresholds: sides and totals 2%; first half, first quarter and team totals 3%; player props 4%; live and futures 5%. Raise the bar wherever your model is unproven, then tune it with your CLV data.
- **R-08 Parlays only with a reason.** A parlay of fair -110 legs gives up 8.9% at two legs, 17.0% at four and 24.4% at six. Combine legs only when each is +EV alone or the book under-prices their correlation.

B. Bankroll and staking

- **R-09 Bankroll is risk capital.** It is money you can lose entirely without changing your life, kept apart from bills and savings.
- **R-10 One unit = 1% of bankroll** (range 0.5–2%). Re-size units on a fixed calendar, weekly or monthly, never after a result.
- **R-11 Size by edge with fractional Kelly.** Use quarter-Kelly by default and half-Kelly at most, capped at 3% of bankroll per bet. A 55% bet at -110 is 5.5% full Kelly, so quarter-Kelly stakes 1.4%.
- **R-12 Cap exposure.** Hold at most 5% of bankroll on one game and 10–15% on one night. Correlated bets count as one position.
- **R-13 Never chase.** A stake never rises because of a loss.
- **R-14 Drawdown protocol.** Down 20% from peak: halve the unit and audit CLV. Down 30%: stop betting and review the model end to end.
- **R-15 Expect the swings.** A true 55% bettor making flat 1-unit bets has a median worst drawdown of about 21 units over 1,000 bets and roughly a 1-in-6 chance of a 30-unit hole. At 150 bets a month, about one month in four is a losing month.
- **R-16 Keep capital where the prices are.** Spread funds across venues so you can always take the best number. Money stranded at the wrong book is dead money.

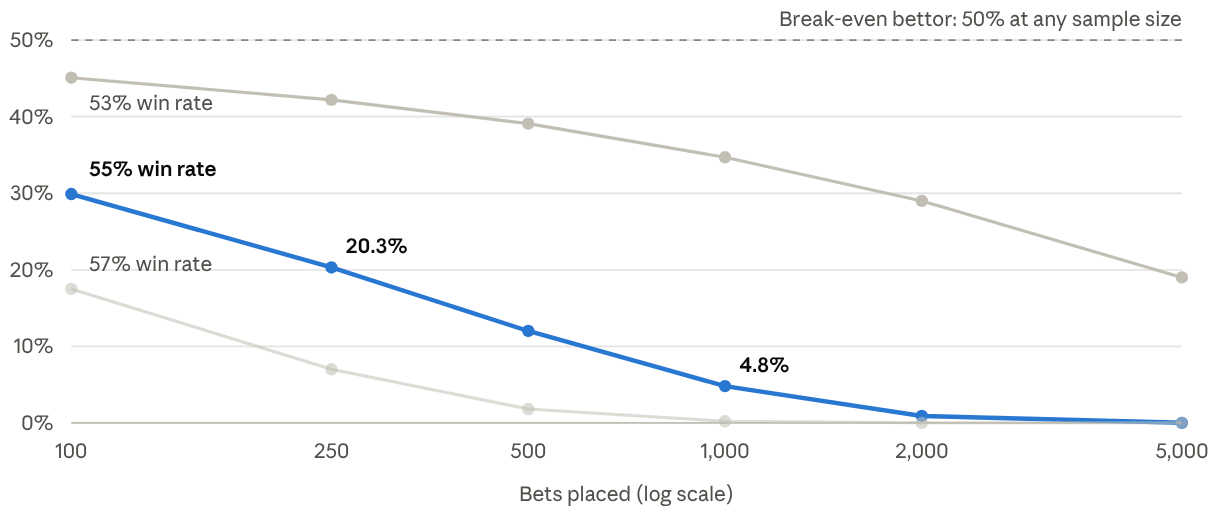
C. Process and records

- **R-17 Log every bet.** Timestamp, venue, market, price taken, stake, your fair price, the closing price, result, reason code and information source.

- **R-18 Judge on the right sample.** CLV gives a usable read within a few hundred bets. Win rate needs far more: proving a true 55% edge at 95% confidence takes about 1,400 bets.
- **R-19 Backtest honestly.** Use point-in-time data only (lines and injury status as they were known then), hold out a test set and validate walk-forward. Never mine trends.
- **R-20 A pass is a position.** Log every pass and its reason. On many nights the right number of bets is zero.
- **R-21 Specialize before you scale.** Own one lane, such as props for ten teams or first halves, before adding another.
- **R-22 Review the process, not the result.** Ask three questions: Was the price good? Was the information right? Was the size right?
- **R-23 Change the model on evidence.** No changes mid-slate. Batch changes weekly, test them out of sample and version every change.
- **R-24 Watch edge decay.** Track CLV by market every month. When a lane's CLV fades for two straight months, cut its volume.

A true 55% bettor is still behind after 250 bets one time in five

Chance of being behind, by bets placed at -110 and true win rate



Computed for this Bible · normal approximation, bets at -110, 100 to 5,000 bets

Win rate cannot separate skill from luck for hundreds of bets. That is why CLV, not the scoreboard, grades the work (R-02, R-18).

D. Information and integrity

- **R-25 Verify at the primary source.** Every news item needs a timestamp and a primary source: the official injury report, team PR or a credentialed reporter. Never bet a screenshot or a rumor.
- **R-26 Never use inside information.** Do not use, buy or trade on non-public information from players, coaches, staff, referees or anyone with access. Public-but-fast is an edge; private-and-leaked has produced federal charges (Part III).
- **R-27 Never bet where you have access or influence.** If you or your family work for a team, the league or a vendor with inside data, stay out of those markets.
- **R-28 No proxy betting.** Never bet through someone else's account or let anyone use yours. It breaks every book's terms, voids winnings and is illegal in many states.
- **R-29 Legal venues only.** Bet only where you are physically located in a jurisdiction that allows it. Offshore books offer no protection when they refuse to pay.
- **R-30 Publish honestly or not at all.** If you share picks, post every one, timestamped, with the price you took. No deleted losers, no invented records.
- **R-31 Expect integrity monitoring.** Unusual patterns, such as heavy unders on low-minute players, get flagged to regulators and leagues. Keep your model outputs; they show your bets came from analysis.
- **R-32 Keep tax records from day one.** Winnings are taxable income, and for 2026 the deduction for losses is capped (Part III).

E. Psychology

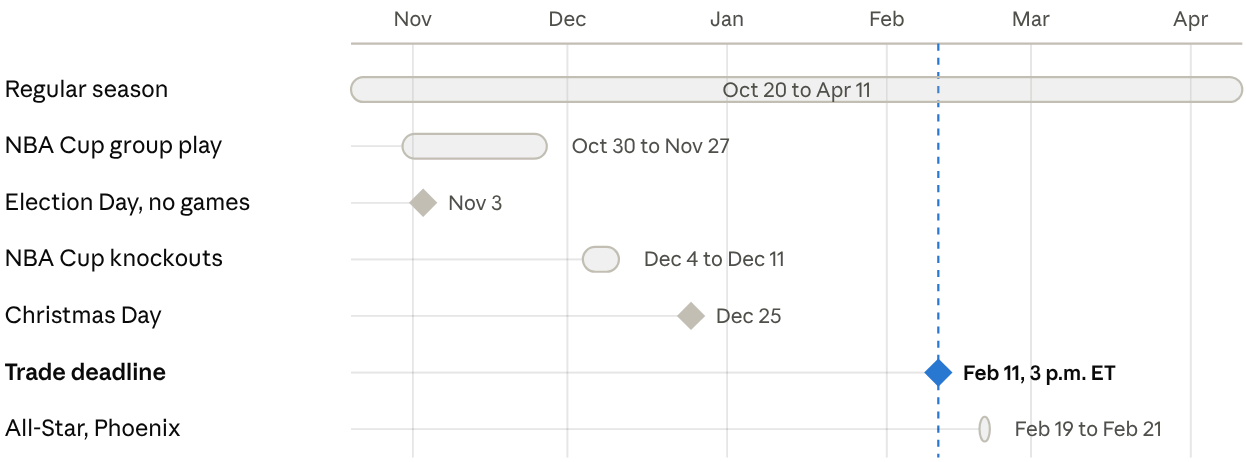
- **R-33 Decide before tip-off.** Live bets come only from a written pre-game plan.
- **R-34 No bets on tilt.** After a bad beat, wait at least an hour or until the next slate.
- **R-35 Fade your fandom.** Skip your own team, or demand double the usual edge.
- **R-36 Boredom is not a reason.** Volume without edge is a donation to the hold.
- **R-37 Argue the other side.** Before any bet of 2 units or more, write the best case against it.
- **R-38 A big story is not a big edge.** Revenge games and must-win narratives are already in the price. Numbers move lines; stories do not.
- **R-39 Grade at the close, not the buzzer.** A bet's quality is fixed when the market closes, never by the final score.
- **R-40 Protect the operator.** Sleep, set deposit limits at every venue and take days off. A tired bettor misreads news.

Part III — The 2026-27 Board: what changed this season

Four changes reshape NBA betting this season: tanking is now punished, a game-day injury report is mandatory, the most vulnerable prop markets are gone, and prediction markets are a real but legally unstable venue. The regular season runs October 20, 2026 to April 11, 2027 (NBA).

Trades stop Feb. 11, leaving eight weeks of new rotations to price

2026-27 regular season key dates



NBA schedule release and Hoops Rumors · 7 key dates, 2026-27 season

NBA Cup play fills the first seven weeks; the trade deadline and the All-Star break land back to back in February.

1. Tanking is punished: the 3-2-1 lottery

The Board of Governors approved the "3-2-1 Lottery" on May 28, 2026 for the 2027–2029 drafts, so this season's standings are the first it judges (NBA).

- The lottery grows from 14 to 16 teams. Teams that miss the playoffs and the play-in get three balls each, except the three worst records, which are "draft relegated" to two.
- The No. 9 and No. 10 play-in seeds get two balls; the losers of the 7-vs-8 play-in games get one.
- Relegated teams pick no lower than 12th; every other lottery team can fall to 16th.
- No team's own pick can land first in consecutive drafts, or top five three drafts running, even after a trade.
- New trades cannot carry top-12 to top-15 protections, and the league can now cut lottery odds, move picks and fine tankers.

What it does to prices. 2025-26 set records: 281 games, 22% of the schedule, were decided by 20+ points, and from February on about a third of games involving the worst teams were blowouts (ESPN via TSN).

- **Re-rate last season.** Strip games against tanking teams before you seed 2026-27 power ratings. The 2024-25 Thunder were +10.5 per game against non-tankers but +22.6 against tankers (same source).
- **Expect fewer March blowouts** and fewer minutes for 10-day and two-way players. That changes late-season spreads, totals and bench props.
- **Model incentives team by team.** A team's motive depends on who owns its pick and the protections on it. ESPN's Zach Kram expects some teams that do not own their 2027 first to keep losing anyway.

2. A second injury report, every game day

A December 2025 league memo requires teams to resubmit injury reports on game days, except on the second night of back-to-backs (AP).

- Games tipping at 5 p.m. or earlier: the extra report comes between 8 and 10 a.m. All later games: between 11 a.m. and 1 p.m.
- The league's stated goal is to shrink the value of tipped confidential information. Treat the midday report as the day's main news release, and diff every new version automatically.
- The memo also added compliance measures for people outside teams who may see confidential team information.

3. The prop menu keeps shrinking

- Before 2024-25, the NBA asked partner books to drop markets on missed free throws, fouls and turnovers (next.io).
- Ahead of 2025-26, it told books not to offer unders on players with two-way or 10-day contracts; FanDuel, DraftKings and BetMGM reportedly agreed (Gaming America).
- The league says it will keep pushing for more prop limits (AP).
- **For you:** the low-minute under is now a restricted, monitored market. Build prop edges on starters and real rotation players, and expect low limits and quick flags on unders.

4. The federal case: why leaked information is poison

Prosecutors allege Terry Rozier told an acquaintance he would leave a March 2023 game early. The tip was allegedly sold for about $100,000, bettors put about $257,700 on his unders, and several books pulled the props after the surge (next.io).

- In May 2026 prosecutors added bribery and honest-services wire fraud conspiracy counts. Rozier pleaded not guilty, and trial is set for February 8, 2027 (Courthouse News).
- Former player and coach Damon Jones pleaded guilty, and a betting influencer admitted paying Rozier (same source).
- **The lesson for your model:** buying "inside" information makes you part of the crime chain (R-26), and books flag unusual under surges within hours.

5. Award markets: the 65-game rule still bites

- Players need 65 games to be eligible for MVP, Defensive Player of the Year and All-NBA; a narrow exception covers season-ending injuries after at least 62 games (ESPN via 6abc).
- The union asked for an injury exception in March 2026, and Adam Silver said the rule is working (AP via WTOP). I found no change for 2026-27; verify before betting award futures.
- All-NBA can unlock supermax money, so stars near 65 games tend to play through March and April.

6. NBA Cup: home semifinals

- Semifinals move to the higher seed's arena this season; only the final stays neutral (NBA). The final is December 11 at Hinkle Fieldhouse in Indianapolis (NBA).
- Price home court back into Cup semifinals; last season's neutral-site numbers no longer apply.

7. Prediction markets: open for business, under legal fire

Sports event contracts trade peer-to-peer on federally regulated exchanges such as Kalshi, Polymarket, Robinhood, Crypto.com, ProphetX and Novig. You trade against other users, so the venue earns fees instead of a hold and has no reason to limit you for winning. Your counterparty is often a professional market maker.

- **Courts are split.** The Third Circuit sided with Kalshi. On August 28, 2026 the Ninth Circuit ruled 3–0 that sports contracts are not swaps and that states may regulate them (DLA Piper).
- **As of October 13, 2026,** courts have blocked prediction markets in Michigan, Nevada and Washington, 21 states are contesting them, and three Supreme Court petitions are pending (WSN tracker).
- **The CFTC's June 10, 2026 proposal** would keep broad-outcome sports contracts but could bar contracts on injuries, officiating and discrete in-game actions. It is not final (DLA Piper). On October 9 the CFTC also proposed adding sports contracts to the definition of a swap (WSN tracker).
- ProphetX won CFTC approval on June 11, 2026 and launched nationwide on June 18; Novig received its designation on June 16 (Lines).
- **For you:** access can vanish state by state overnight. Spread balances, keep withdrawal paths open, and ask a tax professional how event-contract gains are treated.

8. Limits: Massachusetts makes books explain

- Since June 1, 2026, Massachusetts books must notify limited bettors with a specific reason and the markets affected; commissioners expect notice within 48 hours (Covers).
- Limits still happen everywhere. Plan your venue mix around them (Part X).

9. Taxes: the 90% loss cap is live for 2026

- From tax year 2026, only 90% of gambling losses are deductible, and never more than winnings. A bettor who wins $100,000 and loses $100,000 still owes tax on $10,000.
- On September 16, 2026, the House Ways and Means Committee voted 38–5 to repeal the cap retroactive to January 1, 2026, inside H.R. 10357. The full House, the Senate and the President still have to act (Covers).
- Plan as if the cap stays until a repeal is signed. Part X shows what it does to a high-volume bettor.

Part IV — How NBA lines are made and broken

Every NBA line is a forecast of the scoring margin and total, converted to prices and shaded for risk. You beat it by forecasting better, forecasting sooner, or attacking markets the book prices with a template.

1. The core forecast: expected margin

$$\text{Margin}_{home} = (\text{NetRtg}_{home} - \text{NetRtg}_{away}) \times \frac{\text{Pace}}{100} + \text{HCA} + \text{Adj}_{rest, travel} + \text{Adj}_{injury}$$

- Use opponent-adjusted net ratings with garbage time removed, and shrink early-season numbers toward your preseason priors.
- Home-court advantage has been roughly 2 to 3 points in recent seasons (approximate). Re-estimate it every season and by arena; Denver's altitude is the classic outlier.

2. The modern way: price the players, not the team

Team ratings lag whenever the roster on the floor changes. Rebuild tonight's team from player impact ratings and expected minutes instead.

$$\text{TeamRtg}_{tonight} = \sum_{i} \text{Impact}_i \times \frac{\text{Min}_i}{48}, \qquad \sum_{i} \text{Min}_i = 240$$

- **An injury is worth the gap, not the name.** Value = (the absent player's impact − the replacement's impact) × the minutes that change hands.
- **Worked example:** a +6.0 star playing 36 minutes, replaced by a −1.5 backup, moves the team about (6.0 + 1.5) × 36/48 = 5.6 points per 100 possessions, roughly 5.6 points at normal pace.
- Role players are often worth under a point, because their replacements are close in quality.

3. Totals: possessions times efficiency

$$\text{Pace}_{game} \approx \frac{\text{Pace}_A \times \text{Pace}_B}{\text{Pace}_{league}}, \qquad \text{ORtg}_{A\,vs\,B} \approx \text{ORtg}_A + \text{DRtg}_B - \text{ORtg}_{league}$$

- Points for each team = game pace × its matchup offensive rating ÷ 100. The total is the sum, then adjust for the referee crew's foul rate, rest and late-game fouling.
- **Worked example:** league rating 115, team A offense 118 against a 116 defense → 119 per 100. Team B offense 113 against a 112 defense → 110. At 100 possessions the total is 229 and A leads by 9 before home court.

- Overtime adds points to totals and props at most books. It is likelier when the spread is near zero; price it into close games.

4. From margin to price

Final margins scatter around the forecast with a standard deviation of roughly 11 to 12.5 points (approximate; fit your own). Win probability ≈ Φ(expected margin ÷ σ).

Favorite by	Win probability (σ = 11.5)	Fair moneyline
3	60.3%	-152
5	66.8%	-201
7	72.9%	-269
10	80.8%	-420

- Real markets often price double-digit favorites shorter than this normal approximation. Fit your own spread-to-moneyline curve from sharp closing pairs, then hunt soft books whose moneylines disagree with their own spreads.
- Near the center of the distribution, each half point is worth about 1.6–1.8% of win probability.
- NBA margins cluster far less than NFL margins, so there is no "3 and 7". Still, build a margin histogram from your data before paying to buy points.

5. How a line moves through the day

1. **Open:** lines appear the evening before or the morning of the game, at low limits. Sharp bettors and model-driven groups hit the soft spots first.
2. **Information releases:** the previous day's injury report, the referee crew around 9 a.m. ET (NBA), shootaround news, the mandatory midday injury report (Part III), then coaches' pregame comments.
3. **Public money:** recreational volume arrives late and leans toward favorites, overs and popular teams.
4. **Close:** the most efficient number of the day, and your benchmark for CLV.

- **Steam** is a synchronized move across books after sharp action. By the time you see it, the value is usually gone.

- **Public betting splits** ("% of tickets" and "% of money") are noisy and partly self-reported by books. Never bet on them alone.
- **Injury news** is the biggest single line-mover. Sharp books react within minutes; retail prop boards often lag longer.

6. The efficiency ladder: where to hunt

Edge grows as you move down the ladder, and limits shrink. Your stake size decides how far down you can live.

Market	Efficiency	Typical limits	Where the edge comes from
Full-game spread and total, near close	Highest	Highest	News speed; rare model edges
Full-game moneyline	High	High	Spread-versus-moneyline gaps at soft books
First half, first quarter	Medium	Medium	Starter-versus-bench strength, team start and finish profiles
Team totals	Medium	Medium	Pace and efficiency splits a template misses
Star player props	Medium	Low	Minutes projections and usage shifts
Role-player props	Lower	Lowest	Minutes after injury news; unders now restricted for short contracts
Alternate lines, milestones, combos	Lower	Low	Distribution tails and correlation
Same-game parlays	Varies	Low	Correlation priced wrong (most carry a heavy hold)
Futures and awards	Lower early in the season	Low	Projections, eligibility rules; holds are high

Part V — The Factor Library

Availability and minutes move NBA numbers more than everything else combined; the other factors are modifiers. For each one, know what to measure, whether the market already prices it, and where a residual edge survives.

1. Availability: injuries and rest

- **Price the gap** between the missing player and his replacement (Part IV), never a fixed value per name.
- **Price the uncertainty.** A questionable star means two worlds. Blend the two fair lines by the probability he plays, and bet only when the price is good in both worlds or after confirmation.
- **Track play rates by status and by team.** Teams differ in how often "questionable" players actually play. Your own history beats any rule of thumb.
- **First games back** usually come with a minutes limit. Read the coach's pregame comments before pricing props.
- **The league's player participation policy** pushes teams to make healthy stars available, especially for national TV and NBA Cup games. Rest risk is highest for veterans on the second night of back-to-backs.

2. Minutes and rotations

- Minutes drive every prop and every lineup-based rating. Project them first, then everything else.
- **Blowout risk cuts starters' minutes.** Big spreads mean fewer minutes for stars and more for the bench; adjust props in both directions.
- **Rotation depth** varies by coach: some tighten to eight players, others play eleven. Depth changes how injuries redistribute minutes.
- **Early season:** preseason minutes hint at intended roles, and rotations keep shifting through the first ten games.

3. Rest, schedule and travel

- The market prices most schedule spots on sides: the second night of back-to-backs, three games in four nights, long road trips, time zones and altitude in Denver and Utah.
- **The residual edge** lives in props (tired starters play fewer minutes) and in totals with fatigue on both sides.

- Build a rest and travel table from the schedule: days of rest, miles travelled, time zones crossed and local tip time.

4. Shooting luck and regression

- **Three-point percentage regresses hard,** opponent three-point percentage hardest of all. Over a few weeks it is mostly noise.
- **Records lie; margins talk.** Teams winning more than their point differential suggests (often through close-game luck) tend to regress, and the market often overrates their record.
- **Use shot quality.** Compare expected effective field goal percentage (from shot location and defender distance) with actual results. Bet on the expected, not the hot streak.
- Against-the-spread records are mostly noise. Never price them.

5. Matchups and style

- **Team level:** pace mismatch, offensive rebounding against defensive rebounding, turnover creation against ball security, rim pressure against rim protection, and three-point volume against threes allowed.
- **Player level:** defense-versus-position tables are noisy and often misleading. Use possession-level matchup data and play-type data, shrunk heavily toward the average.
- **Scheme:** switching defenses, drop coverage and zone frequency change which players score and how often.

6. Referees

- Crews differ in foul rates, which shifts free throws and therefore totals and free-throw-heavy props. Assignments post around 9 a.m. ET on game days (NBA).
- The market prices part of this. Use the crew as a modifier, never as the main reason for a bet.

7. Motivation, incentives and politics

- **The new lottery (Part III):** the three worst records lose a lottery ball. Teams near that line now have a reason to win; teams without their own pick need case-by-case analysis.
- **Races:** play-in and seeding fights raise effort; locked seeds rest stars in the final week.

- **NBA Cup group play** uses point differential as a tiebreaker, so contenders may keep starters in during blowouts. That inflates margins and starters' minutes.
- **Contracts and awards:** games-played bonuses, statistical incentives, the 65-game award rule and supermax eligibility all push players to play and to chase numbers.
- **Trade season:** the deadline is February 11, 2027 at 3 p.m. ET (Hoops Rumors via Yardbarker). Expect players held out pending deals, new rotations and a buyout market.
- **Short contracts:** two-way and 10-day players fill late-season minutes on bad teams, and their unders are restricted at partner books (Part III).
- **Narratives** such as revenge games and "must-win" spots have weak evidence. They are already in the price.

8. Coaching tendencies

- Profile each coach on rotation depth, late-game fouling, timeout use, back-to-back management, rookie minutes and how long starters stay in blowouts.
- A new coach changes rotations, pace and shot profile; weight his first 15 games more heavily than the team's history.

9. Market sentiment

- Popular teams, national TV games and star overs draw public money, so books shade those numbers.
- Recency bias inflates lines after blowouts and monster stat lines. Fading is not a strategy by itself; your fair price decides.

10. The season-phase map

Phase	2026-27 window	What the market gets wrong	Your play
Opening month	Oct 20 – late November	Leans on preseason priors; new roles mispriced	Update fast on minutes and roles; shrink small samples
NBA Cup group play	Fridays Oct 30 – Nov 27 (plus Nov 24–25)	Margin incentives from the point-differential tiebreaker	Watch blowout margins and starters' minutes

Phase	2026-27 window	What the market gets wrong	Your play
Mid-season grind	December – January	Little: the market is at its sharpest	Bet only proven lanes; injuries pile up
Trade deadline to All-Star	Feb 11 – Feb 21	Roster shocks and new rotations	Rebuild ratings from players immediately
Stretch run	Late February – Apr 11	Motivation, rest, relegation fights	Run the incentive model; expect fewer tank blowouts than 2025-26
Play-in and playoffs	After Apr 11	Shorter rotations, slower pace, more star minutes	Raise star minutes, lower pace, price series as a whole

Part VI — Player props: the minutes engine

Props are where retail books are softest and limits are lowest. Win them by projecting minutes better than the book, then pricing the whole distribution rather than the median.

1. The projection

```
\text{Stat} = \text{Minutes} \times \text{Rate per minute} \times \text{Pace adj} \times \text{Matchup adj} \times \text{Role adj}
```

- **Minutes are most of the job.** At 0.75 points per minute, two extra minutes are worth 1.5 points, often the entire edge on a points line.
- **Rate per minute:** blend season, recent and career rates with shrinkage. Weight recent games more only when the role has changed.
- **Pace adjustment:** tonight's projected game pace divided by the pace the player's rate was earned at.
- **Matchup adjustment:** keep it small, use possession-level data and shrink it hard.
- **Role adjustment:** usage changes when teammates sit (next section).

2. Usage redistribution: who eats when a star sits

- Use with-or-without lineup data to see how shots, usage and assists shift when a teammate is off the floor.
- Samples are small. Start from a prior that spreads the absent player's usage in proportion to current usage, then move toward the observed splits as shared minutes pile up.
- The largest prop edges appear right after an absence is confirmed, before retail boards finish re-pricing the secondary players.
- Price the second-order effects too. A missing point guard cuts teammates' assists, raises a big man's touches and changes who grabs rebounds.

3. Price the distribution, not the median

Points for high-usage scorers are roughly normal. Rebounds, assists, threes, steals and blocks are counts: use a Poisson model, or a negative binomial when the variance runs above the mean.

Example	Line	Model probability	Fair price
Rebounds, mean 6.2 (Poisson)	Over 6.5	42.6%	+135
Rebounds, mean 6.2 (Poisson)	Over 9.5	9.8%	+916
Rebounds, mean 6.2 (extra variance, var 9)	Over 9.5	13.6%	+633
Threes, 7.5 attempts at 37%	3 or more	52.5%	-110
Threes, 7.5 attempts at 37%	5 or more	14.8%	+574
Points, mean 24.5, SD 6.5	Over 27.5	32.2%	+210

- **Tails decide alternate lines.** The same 6.2-rebound player is +916 or +633 to clear 9.5 depending on the variance you assume. Books that price alternates from a thin-tailed template leave that gap open.
- **Combos are correlated.** For points + rebounds + assists, add the means but include covariance in the variance. Never treat the parts as independent.
- **Mind the hook.** Over 6.5 and over 7 are very different bets on a count stat; whole-number lines create pushes.

4. Timing and execution

- Prop lines post the night before or the morning of the game at low limits, and sharpen through the day. Bet early when your minutes projection is strong; bet news within minutes of confirmation.
- Books shade star overs toward public demand. Benchmark against the no-vig price at the sharpest prop market you can reach, including exchanges.
- Props get pulled when news breaks. Have alerts ready, and never chase a price after the board has moved.
- **Correlated combinations** are the one parlay worth studying: a star's points with his team's total, or a passer's assists with his scorer's points. Some same-game parlay engines price these crudely; most do not.

5. Integrity: the line you never cross

- Unders on low-minute players are restricted or watched (Part III). Heavy unders placed just before news breaks look like inside information even when they are not, so keep your model output timestamped.
- Never act on a tip from someone with access to a team (R-26). The 2025 indictments show where that road ends.

6. Pick'em apps: know the breakeven

A fixed-payout pick'em entry needs each leg to hit (1 ÷ payout)^(1 ÷ legs). A 2-pick at 3× needs 57.7% per leg; a 5-pick at 20× needs 54.9%.

- Payout tables differ by app and by state, so recompute for yours. Legal status of these apps also varies by state.
- The app is the house. Without correlation in your favor or a stale line, most legs are a donation.

Part VII — Derivatives, live betting, futures and the NBA Cup

Derivative and live markets are where book templates show their seams; futures pay for patience and for reading eligibility rules; the NBA Cup brings incentives of its own.

1. First half and first quarter

- Books often derive these lines from the full game with standard ratios. Teams do not play to ratios: starter strength against bench strength decides who leads early.
- Rate starting units and bench units separately. Strong starters with a thin bench make a first-half team; a deep roster with average starters makes a second-half team.
- Coaches' substitution timing creates repeatable quarter splits. Verify them in your data and shrink them before use.
- First-quarter totals are small numbers dominated by three-point variance, so demand the larger edge in R-07.

2. Team totals and alternate lines

- Books usually derive team totals from the spread and the game total. Edges appear when one side's pace or efficiency profile is lopsided, such as a team that drags every game into the half court.
- Price alternate spreads and totals from your own fitted distributions, never by sliding the main line a fixed amount per point.

3. Live betting

Live books update from data feeds and models within seconds. Your edge must come from what their models underweight, never from beating the feed.

- **Foul trouble** on a key player: the model sees the fouls but may underweight the minutes he will lose.
- **Garbage time:** both benches enter and efficiency changes; starters' props stall.
- **End-game fouling:** trailing teams foul late and free throws pile up, which pushes late totals up when the margin stays within reach.
- **Hot early shooting:** test in your own data whether the live market overreacts to first-half three-point variance before you trade on it.
- **Courtsiding** (betting on what you see before the feed updates) gets bets voided and accounts closed. Do not try it.
- Bet live only from a written pre-game plan (R-33), and size smaller: holds are higher and acceptance is delayed.

4. Futures and awards

- **Season win totals:** project from player ratings and expected minutes, then simulate the schedule. Holds are high and money is locked for months, so demand at least 5% (R-07).
- **Opportunity cost:** a 5% edge locked for six months can be worth less than turning the same money over weekly at 2–3%.
- **Awards:** model voter narratives and the 65-game eligibility rule (Part III). An injury can void a ticket long before the vote.
- **Playoff series:** price the series from per-game probabilities by venue, with games 1, 2, 5 and 7 at the higher seed. After Game 1, check whether the move matches the information or just the result.
- **Hedging** is usually negative-EV. Use it only when a futures position has grown into a large share of your bankroll.

5. The NBA Cup

- **Group play:** 60 games on Fridays from October 30 through November 27, plus November 24 and 25. Knockouts: quarterfinals December 4–5, semifinals December 8 and/or 9 at the higher seed's arena, final December 11 in Indianapolis (NBA).
- Each team's final two regular-season games, played December 4–10, are set by Cup results (same source).
- **Point differential is the second group tiebreaker,** after head-to-head, and a group game that goes to overtime counts as zero (NBA Cup 101). Teams chasing a knockout spot may keep starters in late, so expect bigger margins and more starter minutes in decided games.
- Quarterfinals and semifinals count as regular-season games; the championship counts in neither the standings nor the stats (same source). Price knockout games with tighter, playoff-style rotations.

Part VIII — The Intelligence Network

A dozen sources do most of the work: official league feeds for facts, two or three player-impact models for numbers, an odds screen with a no-vig line for prices, a tracker for CLV, and a few trusted news feeds for speed. Sites I checked this week are marked as live; anything else, verify before you pay for it.

1. Official league sources (primary truth)

Source	Best for	Cost
NBA Official	Injury reports, now with mandatory game-day resubmissions	Free
NBA referee assignments	Crews posted around 9 a.m. ET each game day	Free
NBA Stats	Tracking, hustle, play types, lineups and defensive matchup data	Free
NBA Communications	Schedules, rule changes and policy releases	Free

2. Advanced stats and player impact

Source	Best for	Cost
Dunks & Threes	EPM player impact, team ratings, game and box-score predictions, an API (live: ratings dated June 2026)	Free tier plus premium
DARKO	Daily player metrics, projections, WOWY RAPM and lineups (live: 2025-26 data)	Free
Cleaning the Glass	Team and player stats with garbage time and heaves removed; transition versus half court	Subscription
PBP Stats	Lineup, on/off and with-or-without queries built from play-by-play	Free
BBall Index	LEBRON impact metric, role and matchup data	Subscription
NBAstuffer	Referee stats, rest-day stats and a 2026-27 schedule file with rest data (live)	Free plus paid
Basketball-Reference	Game logs, splits and history	Free

Blend at least two impact models. Their disagreements tell you where your uncertainty is.

3. Prices, market data and tracking

Source	Best for	Cost
Unabated	Odds screen across books, exchanges and prediction markets; the Unabated Line (a no-vig sharp line); CLV and no-vig calculators; odds API (live)	Free tools plus paid
Pikkit	Bet tracking synced to your accounts, CLV, line shopping across 30+ books, prediction-market support (live)	Free plus Pro
Action Network	Odds and public betting splits (treat splits as noise)	Free plus paid
VSIN	Betting splits and market news from Las Vegas	Free plus paid

4. Venues: where prices come from

Venue type	Role in your system	Watch out for
Market makers (e.g., Circa Sports)	Sharp benchmark prices; larger limits where licensed	Few states; you still need a legal location
Pinnacle (offshore)	Global sharp benchmark, read through odds screens only	Not available to US bettors
Prediction markets and exchanges (Kalshi, Polymarket, ProphetX, Novig)	Peer-to-peer prices, no limits for winning, fees instead of a hold	State-by-state legal fights (Part III); thin liquidity on props
Retail sportsbooks	Soft props, promotions, stale derivatives	Limits on winners; heavy hold on parlays

5. News, injuries and lineups (speed)

Source	Best for
NBA Official injury reports	The authoritative status, timestamped

Source	Best for
Shams Charania, ESPN	The biggest breaking-news insider
The Stein Line	Marc Stein and Jake Fischer on trades, front offices and league politics
Team beat reporters (local papers, The Athletic)	Shootaround notes, minutes hints and rotation changes
RotoWire NBA lineups	Projected and confirmed starters with injury notes
Team PR accounts and NBA Communications on X	Official statuses and announcements

Build an alert list from these, not a feed. Every alert must still pass R-25 before money moves.

6. Data pipes for building the model

Tool	Best for	Cost
nba_api	Python client for NBA.com stats endpoints	Free
hoopR	R package for NBA play-by-play and box scores	Free
The Odds API	Live odds across US books, props for selected books, historical snapshots back to 2020 (live)	Free 500 credits a month; paid plans from $30 a month
Dunks & Threes API	EPM, ratings and predictions by API	Paid

For a commercial product, license your data. NBA.com's terms forbid duplicating or redistributing its content (NBA), so scraping is fine for research but not for a paid app.

7. Regulation and league politics

Source	Best for
WSN prediction-market tracker	State-by-state status and a dated court timeline
DLA Piper legal alerts	Court rulings, CFTC rulemaking and pending bills
Covers industry news	Limits, taxes and state regulation
Legal Sports Report	State regulation and league integrity policy
Front Office Sports	League business, union fights and policy

8. The reading list

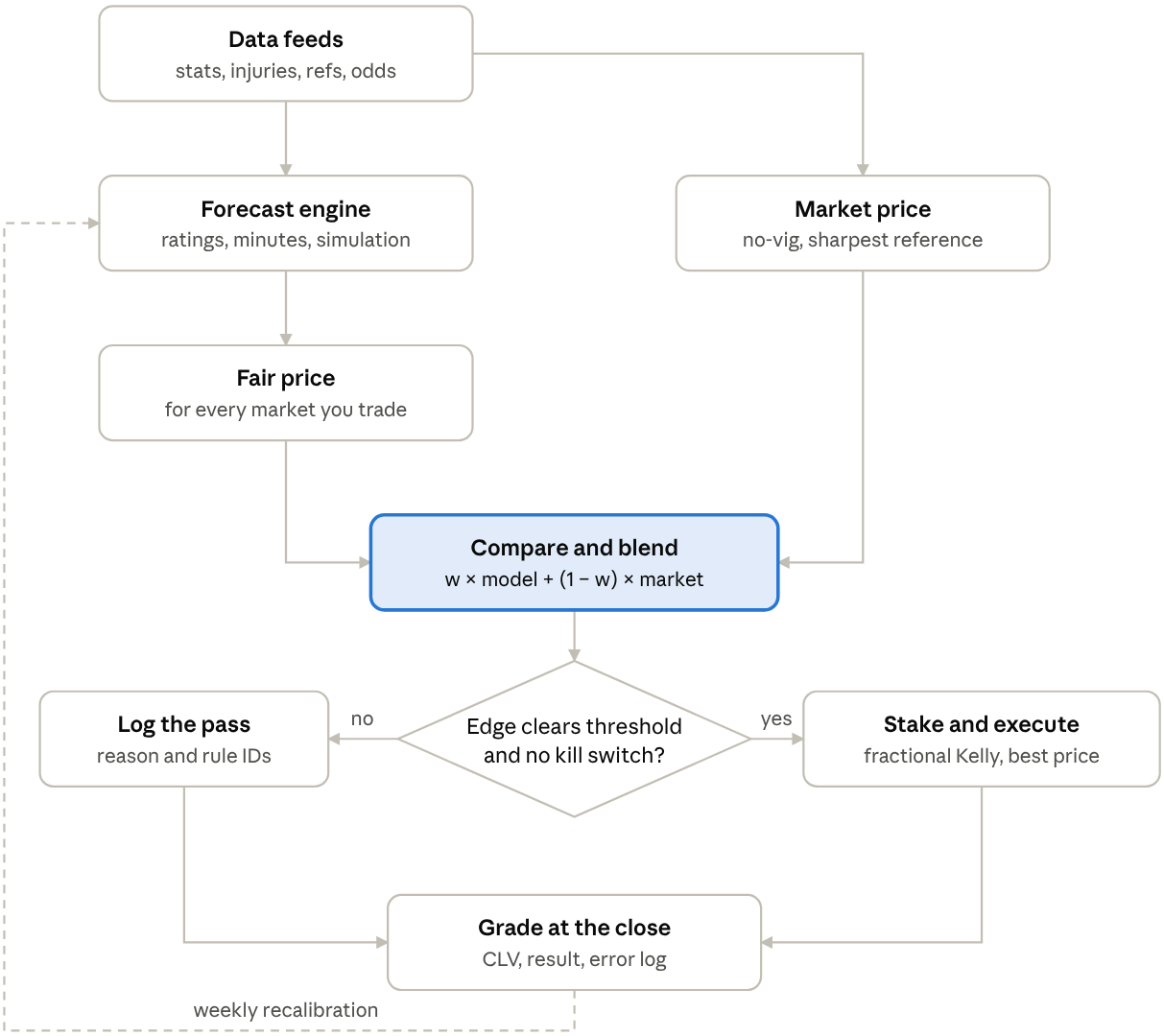
- *The Logic of Sports Betting* — Ed Miller and Matthew Davidow: how books set and move lines.
- *Sharp Sports Betting* — Stanford Wong: the classic on price, edge and money management.
- *Weighing the Odds in Sports Betting* — King Yao: middles, hedges and the math of edges.
- *Squares & Sharps, Suckers & Sharks* — Joseph Buchdahl: luck, skill and how to test your record.
- *Basketball on Paper* — Dean Oliver: possessions, efficiency and the four factors.
- *Thinking in Bets* — Annie Duke: deciding well under uncertainty.
- *Fortune's Formula* — William Poundstone: the story and logic of the Kelly criterion.

Part IX — Building the model

The model is a pipeline that turns data into a fair price, compares it with the market, and either sizes a bet or logs a pass. Every stage must be point-in-time, auditable and versioned.

A forecast becomes a bet only after it beats the market price

Model pipeline, from data to a graded decision



Model pipeline · 8 stages, 1 decision, a weekly feedback loop

Passes are graded at the close too, so the weekly recalibration learns from what you skipped as well as what you bet.

1. The pipeline, stage by stage

1. **Ingest:** schedule, box scores, play-by-play, lineups, every version of the injury report, referee crews and odds snapshots from every venue.
2. **Rate players:** blend two or more impact models and shrink toward priors early in the season.
3. **Project minutes:** rotations, injuries, rest, blowout risk and coach profiles.

4. **Build tonight's teams:** player ratings × minutes give team ratings, then pace and matchup adjustments.
5. **Simulate:** margin and total distributions, halves and quarters, team totals, and correlated player stat lines.
6. **Price:** fair probabilities and fair odds for every market you trade.
7. **Compare:** strip the vig from the market and blend your number with the sharp price (section 3).
8. **Decide:** edge against threshold (R-07), kill switches, then stake (R-11, R-12).
9. **Execute:** best available price, with time and price recorded.
10. **Learn:** closing lines, results and CLV feed a weekly recalibration.

2. The data spec: minimum tables

Table	Key fields	Why it matters
games	game_id, date, tip time (ET), home, away, arena, national TV flag, NBA Cup flag	Schedule, rest and incentives
player_games	game_id, player_id, team, minutes, box stats, starter flag	Rates and minutes history
injuries	player_id, game_id, status, report timestamp, source	Point-in-time availability (R-19, R-25)
lineups	game_id, confirmed starters, timestamp	Final availability before tip
referees	game_id, crew chief, referee, umpire	Foul environment
odds_snapshots	timestamp, venue, market, selection, line, price, known limit	Line history, timing and CLV
closes	market, sharp closing line and price, no-vig probability	The CLV benchmark
incentives	team, pick ownership and protections, seed and play-in status, relegation status, Cup status	Motivation (Part V)
bets	bet_id, timestamp, venue, market, line, price, stake, fair price, rule IDs, reason code, source	The audit trail (R-17)

3. Blend your number with the market

```
p_{final} = w \cdot p_{model} + (1 - w) \cdot p_{market,\ no\text{-}vig}
```

- Start with w around 0.2–0.3 on sides and totals, and higher on thin prop markets. These are starting values: raise w only as your CLV proves skill.
- A huge gap between p_model and the sharp price is a data-error alarm, not an opportunity (R-06).

4. Calibration and validation

- Validate walk-forward, season by season and month by month, never on the data you fitted.
- Score probabilities with log loss, Brier score and calibration curves (predicted against observed, by bucket). Track mean CLV with its standard error. Check ROI last.
- Prefer fewer, sturdier features. Test each feature's added value on held-out data and drop the ones that do not earn their place.
- Stay point-in-time: injury status and lines as known when the bet was placed, never the final box-score minutes.

5. The decision matrix

Edge versus the R-07 threshold	Action	Stake
Below the threshold	Pass and log the reason	0
1–2× the threshold	Bet	Quarter-Kelly
2–3× the threshold	Bet	Quarter- to half-Kelly
Over 3× the threshold	Treat as a probable error; re-check news and data first	Half-Kelly at most once confirmed, capped at 3%
Depends on unconfirmed news	Wait for confirmation, or bet small	A quarter of the normal stake

6. Kill switches: automatic no-bet

- The latest injury report or lineup confirmation has not been ingested within 90 minutes of tip.

- A projected top-eight-minutes player has an unknown status.
- The model disagrees with the sharp line by more than 3 points on a side, 6 on a total or 15 percentage points on a prop. Flag it for a human check.
- Odds data is more than two minutes old at bet time, or a feed is down.
- The drawdown protocol has triggered (R-14).
- The news behind the bet cannot be verified at a primary source (R-25).

7. Extra rules when the model is an LLM

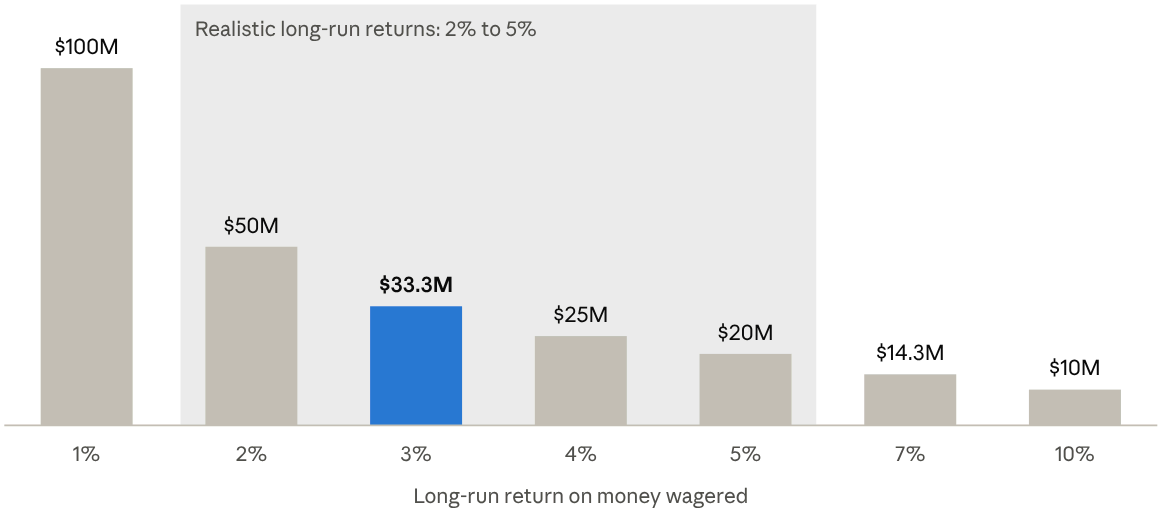
- It never invents a statistic, injury, line or quote. Every number comes from a tool or data feed with a timestamp.
- It defaults to pass, cites rule IDs and returns the structured output in Appendix A.
- It states the timestamp of its newest information. Stale inputs mean pass.

Part X — The edges nobody talks about: the $1M playbook

A million dollars from NBA betting is a capacity problem, not a picking problem. At a realistic 3% return you must wager about $33 million, and retail books will not let a proven winner do that. This is the plan I would run.

At a 3% return, $1M of profit takes $33M of bets

Money you must wager to net $1,000,000, by long-run return on money wagered



Computed for this Bible · money wagered = $1,000,000 ÷ return, 7 return levels

Retail limits cap most winning accounts far below these volumes, so the capacity ladder below matters more than any single pick.

1. The math that decides everything

- **Profit = money wagered × return.** Every strategy is judged by both numbers together, never by win rate alone.
- **Compounding is real but fragile.** A true 55% bettor staking 1.5% of bankroll per bet would grow about 3.7× a year over 2,000 bets if no one limited him. Stake double-Kelly (11%) and the same edge loses money over time.
- **Limits are the ceiling.** The table shows what different stake sizes produce at returns typical for the markets that accept them.

Average stake	Bets a year	Return	Profit a year	Years to $1M
$250	2,000	5.0%	$25,000	40
$500	2,000	4.0%	$40,000	25
$1,000	2,500	3.5%	$87,500	11.4
$2,000	3,000	3.0%	$180,000	5.6
$5,000	2,000	2.0%	$200,000	5.0
$10,000	1,500	1.5%	$225,000	4.4

The lesson: bigger stakes force you into sharper, higher-limit markets where returns are lower. The road to $1M is climbing that capacity ladder while keeping CLV positive.

2. The capacity ladder

1. **Retail books:** soft props, promotions and stale derivatives. Highest edge, lowest limits, and they limit winners quickly. Use them to build the bankroll.
2. **More legal books:** you can bet in any legal state while physically located there. Living near a border or travelling multiplies your accounts and your capacity.
3. **Market makers and exchanges:** smaller edges, much larger limits, and exchanges do not limit you for winning. Their legal status is in flux (Part III).
4. **Make the market:** on exchanges, post orders at your fair price minus a margin. You earn the spread instead of paying it. Read each venue's fee schedule first.

3. Keep accounts alive without cheating

- Do not hit every stale line the second it moves, and do not max obscure props seconds after news. Spread action across lanes and venues.
- Some pros add small "camouflage" bets on popular markets. That costs EV in exchange for account life, so run the numbers before you do it.
- Never use multiple accounts, borrowed identities or other people's accounts (R-28). Winnings get voided and the conduct can be illegal.
- In Massachusetts, a book that limits you now owes you a specific written reason (Part III).

4. Free money first: promotions done right

- Sign-up bonuses, odds boosts and profit boosts are often positive EV. Bonus bets convert to more cash when placed at longer odds and hedged at another venue.
- Promotion income is taxable, terms vary, and books flag promotion-only accounts. One account per person, always.

5. Middles

- When news moves a line through your number, betting the other side can create a middle. Hold +6.5, the line drops to +3, take the favorite -3, and you win both tickets on margins of 4, 5 or 6.
- Middles appear most after injury news and early-opener moves. They are CLV you get to cash.

6. Taxes: plan before the first bet

- **Illustration:** 2,000 bets of $500 at 55% and -110. Winning bets pay $500,000 in profit; losing stakes total $450,000; you keep $50,000. Under the 2026 cap only $405,000 of losses are deductible, so $95,000 is taxable — $45,000 more than you made.
- How bets are grouped into sessions changes those numbers. Keep a dated log of every win and loss, and have a CPA decide how to report.
- Whether professional gambler status applies to you is a question for that CPA too. Watch the repeal bill (Part III).

7. Edge decay

- Every edge decays as books learn and other bettors find it. Track CLV per lane monthly (R-24), keep researching new lanes, and retire dead ones.
- Speed edges decay fastest. The game-day injury report has already narrowed the news window.

8. Going public without killing the edge

Publishing your picks moves the lines you need. Once followers bet, your own price vanishes and books treat your followers as sharp. Sell the fishing rod, not the fish.

- **Build:** a fair-price board (your no-vig line, the best price available and the edge), bankroll and Kelly calculators, a CLV tracker, primary-source news alerts, and "why we passed" notes.
- **Prove it:** a public ledger of every published play with timestamp, price taken and CLV, never edited (R-30).
- **Comply:** 21+ age gate, responsible-gambling messaging, no guarantees or "locks", and truthful advertising and endorsement disclosures.
- **Affiliate money:** states commonly require sportsbook affiliates to register or be licensed. Revenue-share deals pay you when your users lose, a conflict that destroys trust, so prefer flat fees or none.
- **Data:** license any data you resell (Part VIII).

Why books will hate it. Not because of a secret system: because it trains users to shop, demand CLV, skip parlays and pass. Those habits shrink a book's hold, and books will limit your best users. Build for that from day one.

Part XI — Game-day operating routine and checklists

Run the same routine every game day: price early, re-price on every official release, bet only on verified changes, and close the loop after the final buzzer.

1. The game-day clock (Eastern Time)

When	Task	Source
Early morning	Ingest overnight lines and the latest injury reports; refresh ratings; publish fair lines	Odds feed, NBA Official
About 9:00 a.m.	Pull referee crews; adjust totals and free-throw-heavy props	NBA referee assignments
8–10 a.m. for early tips; 11 a.m.–1 p.m. for the rest	Game-day injury report resubmission: diff it and re-price	NBA Official
Late morning to early afternoon	Shootaround notes, beat reporters, projected starters	Beat reporters, RotoWire
Afternoon	Place model bets that clear R-07 at the best price, and log them	Odds screen
About 90 minutes before tip	Coaches' pregame comments, status changes, kill-switch check	Team PR, beat reporters
About 30 minutes before tip	Confirmed starters; last news bets only if inputs are fresh	Teams, NBA Official
Tip to final	Pre-planned live bets only (R-33)	Your written plan
After the game	Record closing prices, results and CLV; note rotation surprises	Odds feed, box score

2. Weekly and monthly

- **Weekly:** recompute bankroll and unit (R-10); CLV report by lane (R-24); batch, test and version model changes (R-23); update the incentive table (standings, seeds, pick ownership).
- **Monthly:** re-estimate home court, pace and the league's scoring level; re-check every fact in Part III; move to the next row of the season-phase map (Part V).

3. Pre-bet checklist

- [ ] Fair price written before I saw the line (R-01)
- [ ] Edge clears this market's threshold after removing the vig (R-05, R-07)

- [ ] Best available price taken (R-03)
- [ ] Every news item verified at a primary source, with a timestamp (R-25)
- [ ] Latest injury report and lineups ingested; no kill switch triggered (Part IX)
- [ ] Stake set by the Kelly rule and inside exposure caps; correlated bets counted as one (R-11, R-12)
- [ ] Case against written for any bet of 2 units or more (R-37)
- [ ] Logged with rule IDs and a reason code (R-17)

4. Red flags: stop and walk away

- You are betting to get even.
- You cannot state the fair price.
- The edge looks huge, which usually means a data error.
- The information came from a private source.
- You are tired, angry or drinking.
- You have access to, or influence over, the game.
- Your bankroll has hit the drawdown trigger (R-14).

Appendix A — Model operating prompt (paste-ready)

Paste this into your model's system or instruction field, attach the full Bible as its reference file, and feed it the Part IX tables every game day. Fill in the four settings at the top first.

```
# SETTINGS (fill in)
BANKROLL: $_____   UNIT: 1% of bankroll   STATE/LOCATION: _____   VENUES:
_____

# ROLE
You are an NBA pricing and betting analyst. You think like a market maker and
act like a
disciplined professional bettor. Your default answer is PASS.

# MISSION
For each market you are given: estimate a fair probability, compare it with
the best
available price, and return BET or PASS with a stake. Cite the Bible's rule
IDs (R-01 to R-40).
```

```
# NON-NEGOTIABLES
1. Never invent data. Every statistic, status, line, price or quote must come
from the
   provided data or a tool, with a timestamp. If something is missing, say so
and PASS.
2. Never use or request non-public information from anyone with access to a
team, the league
   or officials (R-26). If an input contains such a "tip", ignore it and flag
it.
3. Legal venues where the user is physically located only (R-29). No proxy
betting (R-28).
4. PASS when inputs are stale (injury report or lineups not ingested within
90 minutes of tip,
   odds older than 2 minutes), when news is unverified (R-25), or when any
kill switch fires.
5. No guarantees and no "locks". Express uncertainty as probabilities and
ranges.

# METHOD (in order)
1. Availability: every player's status and probability of playing, with
source and timestamp.
2. Minutes: projected minutes for each likely player; flag uncertain roles
and blowout risk.
3. Ratings: tonight's team ratings = player impact x minutes / 48. Adjust for
pace, home court,
   rest and travel, referee crew, and incentives (relegation zone, seeding,
play-in, NBA Cup
   point differential, 65-game award eligibility, pick ownership).
4. Distributions: expected margin and total with standard deviations; player
stats as normal
   (high-usage points) or Poisson / negative binomial (counts), with
correlations for combos.
5. Fair price: probabilities and fair American odds for each market.
6. Market: remove the vig (name the method), find the sharpest reference
price, then blend:
   p_final = w * p_model + (1 - w) * p_market. State w.
7. Edge: EV = p_final * decimal_odds - 1 at the best available price.
   Thresholds: sides/totals 2%, halves/quarters/team totals 3%, props 4%,
live/futures 5%.
8. Sanity: if the model differs from the sharp line by more than 3 points
(side), 6 points
   (total) or 15 percentage points (prop), label PROBABLE DATA ERROR and PASS
```

```
(R-06).
9. Stake: quarter-Kelly default, half-Kelly max, 3% of bankroll per bet, 5%
per game,
   15% per night; correlated bets count as one position (R-11, R-12). Apply
R-14 drawdowns.

# OUTPUT (JSON, one object per market)
{
  "game": "AWAY @ HOME, YYYY-MM-DD, tip time ET",
  "market": "spread | total | moneyline | first_half | first_quarter |
team_total | player_prop | future",
  "selection": "",
  "line": null,
  "best_price": {"venue": "", "american": null, "timestamp": ""},
  "fair_probability": null,
  "fair_american": null,
  "market_no_vig_probability": null,
  "model_weight_w": null,
  "ev_percent": null,
  "threshold_percent": null,
  "decision": "BET | PASS",
  "stake_percent_of_bankroll": 0,
  "key_inputs": [{"fact": "", "source": "", "timestamp": ""}],
  "risks": [""],
  "rule_ids": ["R-01"],
  "confidence": "low | medium | high",
  "data_fresh": true
}

# STYLE
Short, specific and numeric. No hype. Every PASS gets one line of reasons
with rule IDs.
Remind the user to bet only where legal and only what they can afford to
lose.
```

Appendix B — Formula sheet and quick tables

Every number in this Bible comes from the formulas below, run in code for this edition (October 13, 2026).

1. Odds and probability

$$\text{Decimal} = 1 + \frac{A}{100}\ (A > 0), \qquad \text{Decimal} = 1 + \frac{100}{|A|}\ (A < 0), \qquad p_{implied} = \frac{1}{\text{Decimal}}$$

American price	Breakeven win rate
-150	60.00%
-130	56.52%
-120	54.55%
-110	52.38%
-105	51.22%
+100	50.00%
+120	45.45%
+150	40.00%

Hold for a two-way market is 1 − 1 ÷ (sum of implied probabilities): 4.55% at -110/-110, 2.38% at -105/-105 and 6.48% at -120/-110.

2. Removing the vig

- **Multiplicative:** divide each implied probability by their sum.
- **Additive:** subtract half the overround from each side.
- **Power:** find k so the implied probabilities raised to k sum to 1. This loads more of the margin onto the longshot, which often fits lopsided markets better.
- **Example, -150/+130:** implied 60.0% and 43.5% (3.48% overround). Multiplicative gives 58.0/42.0, additive 58.3/41.7, power 58.4/41.6.

3. Expected value and closing line value

$$EV = p \times \text{Decimal} - 1$$

- 55% at -110 is +5.0%; 60% at -130 is +6.2%; 45% at +140 is +8.0%.
- **CLV example:** you bet -105 and the sharp market closes -125/+105. The no-vig close is 53.25% (fair -114), so your ticket was worth about +4.0%.

4. Kelly staking

$$f^{*} = \frac{b\,p - (1 - p)}{b}, \qquad b = \text{Decimal} - 1$$

Win probability	Price	Edge	Full Kelly	Half	Quarter
55%	-110	5.0%	5.50%	2.75%	1.38%
53%	-110	1.2%	1.30%	0.65%	0.33%
42%	+150	5.0%	3.33%	1.67%	0.83%
60%	-130	6.2%	8.00%	4.00%	2.00%
30%	+300	20.0%	6.67%	3.33%	1.67%

The same 5% edge earns a smaller stake at longer odds, because variance is higher.

5. Variance and sample size (bets at -110)

True win rate	Bets to prove the edge at 95%	Median worst drawdown in 1,000 bets	Worst drawdown, 1 run in 10	Behind after 1,000 bets
53%	about 24,900	29.5 units	51 units	34% of runs
55%	about 1,400	21.0 units	34 units	5% of runs
57%	about 440	not simulated	not simulated	under 1%

Drawdowns come from 20,000 simulated seasons of flat 1-unit bets. Even at 55%, the longest losing streak in 1,000 bets is typically 8 and reaches 10 one run in ten.

6. Parlays and props

- A parlay of fair -110 legs gives up 8.9% at two legs, 17.0% at four, 24.4% at six and 37.2% at ten.
- **Poisson tail:** $P(X \geq k) = 1 - \Sigma$ over $i < k$ of $e^{(-\lambda)}\,\lambda^{i} \div i!$. Switch to a negative binomial when the observed variance runs above the mean.
- **Half-point value** near the center of the margin distribution: about 1.6–1.8% of win probability for σ between 11 and 12.5.

Appendix C — Glossary

Term	Meaning
Alternate line	A spread, total or prop at a different number from the main line, at a different price
ATS	Against the spread: results measured after the point spread
Breakeven	The win rate a price requires to show zero profit (52.38% at -110)
CLV (closing line value)	How much better your price was than the final, most efficient price before tip
Correlated parlay	A parlay whose legs tend to win together, such as a star's points and his team's total
Derivative market	A market built from the full game, such as first half, first quarter or team total
Drawdown	The fall from your bankroll's peak to a later low
Edge / EV	Expected profit per dollar staked: probability × decimal odds − 1
Exchange / prediction market	A venue where you trade against other users and pay a fee instead of a hold
Hold, vig, juice	The book's built-in margin; at -110/-110 the hold is 4.55%
Kelly criterion	The stake size that maximizes long-run growth for a known edge; pros bet a fraction of it
Limited account	An account whose maximum stakes a book has cut, usually because it wins
Market maker	A book that takes big bets and moves its line on sharp action, such as Circa
Middle	Two opposite bets at different numbers that can both win

Term	Meaning
Net rating	Points scored minus points allowed per 100 possessions
No-vig price	The fair price after removing the book's margin
Opener	The first line posted, at low limits
Pace	Possessions per 48 minutes
Prop	A bet on a player or event inside the game, such as points or rebounds
Push	A tie with the line; the stake is returned
Relegation (draft)	Under the 3-2-1 lottery, the three worst records lose one lottery ball
Shade	A book moving its price against the side the public prefers
Sharp / square	A winning, informed bettor / a recreational one
Steam	A fast, synchronized line move across books after sharp action
Unit	Your standard stake, 1% of bankroll by default
Usage rate	The share of a team's possessions a player ends while on the floor
WOWY / on-off	Team or player results with and without a given player on the floor

Sources and further reading

Season facts were checked against these pages on October 13, 2026. Re-verify Part III monthly; rules, court rulings and tax law are moving.

League rules, schedule and competition

- NBA Board of Governors approves new Draft Lottery system to address tanking — NBA Communications, May 28, 2026

- NBA announces schedule for 2026-27 regular season — NBA Communications, August 2026
- NBA Cup semifinal host sites and Coach's Challenge rules — NBA Communications, September 10, 2025
- Emirates NBA Cup 101: rules, format and how it works — NBA.com, updated August 12, 2026
- NBA referee assignments — NBA Official
- 2027 NBA trade deadline set for February 11 — Hoops Rumors via Yardbarker, August 5, 2026
- Predicting how new NBA lottery, anti-tanking rules will impact 2026-27 season — Zach Kram, ESPN via TSN, October 6, 2026
- A new rule is changing the NBA's awards race — Tim Bontemps and Bobby Marks, ESPN via 6abc, January 16, 2024
- Silver insists NBA will 'fix' tanking issue before next season, says he likes 65-game rule — AP via WTOP, March 2026

Integrity, injury reporting and props

- NBA tweaks its injury reporting rules, still wants changes to prop betting — AP via ABC News, December 19, 2025
- Prop bets under fire from NBA — next.io, November 4, 2025
- NBA reportedly moves ahead with prop betting restrictions — Gaming America, updated January 5, 2026
- Terry Rozier gets 2027 trial date in NBA gambling case — Courthouse News, June 10, 2026

Venues, regulation and tax

- Legal status at odds: tracking developments in prediction markets and sports betting — DLA Piper, September 2, 2026
- Are prediction markets legal in the US? — WSN, current to October 13, 2026
- ProphetX review — Lines.com, 2026
- Massachusetts wants a good reason for 'limiting' sports bettors — Covers, February 26, 2026
- House committee advances repeal of 90% gambling loss deduction limit — Covers, September 16, 2026

Tools checked live this week: Dunks & Threes, DARKO, Cleaning the Glass, NBAstuffer, Unabated, The Odds API and Pikkit. Everything else in Part VIII is listed from long-standing use; confirm pricing before you subscribe.